

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-03

ONE BANANA NORTH AMERICA CORP.,
COMPLAINANT

v.

HAPAG-LLOYD AG and
HAPAG-LLOYD (AMERICA) LLC,
RESPONDENTS.

**J&K FRESH, LLC'S MOTION TO QUASH OR MODIFY
COMPLAINANT ONE BANANA NORTH AMERICA CORP.'S
SUBPOENA DUCES TECUM OR IN THE ALTERNATIVE
FOR A PROTECTIVE ORDER**

I. INTRODUCTION

Pursuant to Federal Rules of Civil Procedure ("FRCP") 45 and Federal Maritime Commission ("Commission") Rule ("Rule") 502.132, on October 31, 2022, or as soon thereafter as the matter may be heard, non-party J&K Fresh, LLC ("JKF"), through its attorneys, respectfully moves to quash or modify Complainant One Banana North America Corp.'s ("One Banana") Subpoena Duces Tecum ("Subpoena") for testimony and documents and for such other and further relief as the Commission deems just and proper. JKF respectfully seeks an order quashing Complainant's Subpoena for Testimony and Production of Documents on the grounds that One Banana failed to serve the Subpoena twenty (20) days in advance of the deposition as per Rule 502.132(c). Furthermore, compliance with the Subpoena's deposition demands subjects JKF to undue burden. JKF seeks to modify the Subpoena on the following grounds: 1) the time set for the deposition is 7:00 a.m. PDT, which falls outside of normal business

hours; 2) as a customs broker, JKF is unable to identify, discuss, or produce documents relating to the shipments listed without additional details which One Banana agreed to provide but has yet to do so and, at the time of filing this motion, the deposition is set to be held in one (1) week - on November 7, 2022; 3) the Subpoena does not clearly state whether it requests JKF's CEO to testify (the Subpoena is addressed to JKF but the CEO's email address is listed below the address), or whether the intention was for JKF's Custodian of Records to testify; 4) the Subpoena seeks confidential, proprietary and privileged information, and 5) the Subpoena is improper in the first place since it was issued past the discovery cut-off date (*see* June 22, 2022 Revised Scheduling Order). As such, the Motion also raises the question of whether sanctions should be awarded. For the foregoing reasons, the Subpoena should be quashed or modified or, in the alternative, be subject to a protective order.

II. BACKGROUND

On January 19, 2022, One Banana filed a Complaint against Respondents Hapag-Lloyd (America) LLC and Hapag-Lloyd AG (jointly “Hapag-Lloyd”) to seek reparations for injuries One Banana claims it suffered due to Hapag-Lloyd's alleged violations of the Shipping Act of 1984, 46 U.S.C. § 40101.

JKF is a non-party to the pending proceeding. At one time JFK was the customs broker for One Banana, but is no longer. On October 21, 2022, One Banana properly served the Subpoena addressing it to the attention of JKF's CEO by personal delivery at its current office location (not the address on the Subpoena). *See* Ross Declaration, Exhibit A. Previously, One Banana's process

server left a copy of the Subpoena on the floor outside an office from which JKF moved about 12 months earlier. A separate attempt at service was made at the home of JKF's CEO. Earlier that same day, counsel for JKF contacted One Banana's counsel regarding the defective service. JKF's counsel also notified One Banana's counsel that JKF was not in possession of any of the documents or information requested. JKF's role as a customs broker and the limited services it provided were also pointed out. *See* Ross Declaration, Exhibit B.

JKF's counsel also informed One Banana's counsel that JKF could not substantively respond to any of One Banana's requests without the entry or bill of lading numbers for the 100+ container numbers listed on Attachment A to the Subpoena. *See* Ross Declaration, Exhibit B.

Subsequently via email on October 24, 2022, counsel for One Banana agreed to provide the bill of lading numbers, but has failed to do so to this point. *See* Ross Declaration, Exhibit B.

One Banana selected and hired its own trucker, the party who presumably dealt with the terminals in trying to pick up One Banana's shipments and return any empty equipment. Therefore, searching for documents which are known not to exist and/or providing testimony on shipments where the services inquired about were not provided by JKF would unduly burden JKF with no benefit to the parties to this action. Therefore, the Subpoena should be quashed or modified on this ground alone.

In that same email exchange on October 24, 2022, One Banana's attorney stated: "We have over 67 emails with your client regarding the

trucking/movement of these shipments." The email response from JKF's counsel reads: "... As to the emails, my understanding is the trucker was copied on all the emails so telling me you have 67 emails (or more) doesn't really address the relevant topic. J&K copied the trucker on all the emails so they would know ... when they were cleared." *See* Ross Declaration, Exhibit B. There has been no response received to this email.

Prior to filing this motion, counsel exchanged emails on October 29, 2022. One Banana's counsel's explanation for not providing any further details was that settlement discussions were on-going. JKF's counsel responded by stating: "...[I]f we have to wait until Monday to get your concurrence to what we have proposed, that means we will have to complete our Motion to Quash, etc., and that means J&K Fresh LLC will potentially have incurred unnecessary attorneys' fees... Please respond to the [other] email soonest." There has been no further response from One Banana's counsel. *See* Ross Declaration, Exhibit C. The deadline to file the Motion to Quash is Monday, October 31, 2022, and the date of the deposition, as currently scheduled, is November 7, 2022. JKF really has no choice but to proceed with this motion.

If we assume for the moment that anyone from JKF did call any of the terminals for any relevant reason, the Subpoena should at the very least be modified to list only those shipments, but no effort has even been made to accomplish even that limitation on the existing Subpoena!

III. ARGUMENT

A. Discovery Is Untimely Issued.

On June 22, 2022, Judge Wirth issued a Revised Scheduling Order which ordered that August 31, 2022 was the “[t]arget to complete depositions of fact witnesses” and October 7, 2022 was the “[c]lose of discovery.” *See* June 22, 2022 Revised Scheduling Order. One Banana served non-party JKF with a Subpoena on October 24, 2022 commanding JKF to give testimony on November 7, 2022. Both the service date of the subpoena and scheduled testimony date fall far outside of the current Scheduling Order. Thus, the Subpoena should be quashed if for no other reason than to comply with the current Scheduling Order.

B. Quash or Modify Is a Proper Request.

46 CFR §502.132(c) provides: “If served in connection with the taking of a deposition pursuant to §502.143 ... the person to whom the subpoena is directed may move to quash or modify the subpoena within ten (10) days after service of the subpoena, and a reply to such motion shall be served within seven (7) days thereafter.” 46 CFR §502.12 further provides, “In proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent [] they are consistent with sound administrative practice.” Pursuant to FRCP 45(d)(3), a third party witness may move to quash or modify a subpoena; and, the court may, in its discretion, “impose an appropriate sanction—which may include ... reasonable attorney’s fees—on a party or attorney” who fails to take “reasonable steps” to avoid imposing an undue burden or expense on the subpoenaed person. *See* FRCP Rule 45(d)(1). A third party witness receiving a subpoena may also move for a protective order to prevent annoyance, embarrassment, oppression, undue burden

or expense. FRCP Rule 26(c); *Sec. & Exch. Comm'n v. Lemelson*, 334 F.R.D. 359, 361 (D. Mass. 2020). JKF submits that One Banana's Subpoena must be quashed or modified or, in the alternative, is subject to a protective order.

1. The Subpoena Fails to Comply with FRCP and Commission Rules.

The Commission must quash or modify a subpoena upon finding the subpoena subjects the witness to undue burden. FRCP 45(d)(3)(A)(iv); *Millennium TGA, Inc. v. Comcast Cable Commc'ns LLC*, 286 F.R.D. 8, 10–11 (D.D.C. 2012). “On timely motion, the court for the district where compliance is required must quash or modify a subpoena that fails to allow a reasonable time to comply.” FRCP 45(d)(3)(A)(i); *Jones v. Campbell University, Inc.*, 2020 WL 4451173, *3 (E.D. N.C. 2020). The Subpoena was not served 20 days prior to the scheduled deposition date - October 21, 2022 service for a deposition set on November 7, 2022 - which fails to comply with Rule 502.132(c). This failure to adhere to the 20 day schedule creates an undue burden on JKF. It has not been granted a reasonable time to retrieve documentation and/or prepare testimony on a wide range of subjects, even if it could identify the relevant shipments. Without reasonable time to prepare, JKF cannot comply with the Subpoena. The Subpoena should be quashed because One Banana failed to meet its initial and basic service obligations.

2. The Subpoena Creates an Undue Burden on JKF.

Bearing in mind the provisions in FRCP Rules 45(d)(3)(A)(iv) and 45(d)(1), discovery may be refused where the burden of the proposed discovery outweighs its likely benefits. FRCP Rule 26(b)(2); *Fair v. Royal & Sun All.*, 278

F.R.D. 465, 476 (D.S.D. 2012). One Banana's Subpoena creates an undue burden on JKF on several grounds.

One Banana knows that JKF is a California-based company. The deposition is set to be conducted via a video platform at 7:00 a.m. PDT which is outside normal business hours. Compelling JKF to provide significant testimony outside normal business hours constitutes an undue burden, especially where no agreement to such hours was obtained in advance.

Second, JKF is a customs broker, and therefore, has very limited information regarding the Matters for Oral Examination and Requests for Production in the Subpoena. *See* Ross Declaration, Exhibit D. As a customs broker, JKF cannot identify, discuss, or produce documents relating to shipments without the entry or bill of lading numbers, and while One Banana has agreed to provide the bill of lading numbers, it has failed to do so up to this point and we are up against the deadline to object to the Subpoena as served.

The specific information and documents relating to the Subpoena's Matters of Oral Examination 1-8, and Requests for Production Number 1(a)-(e), are likely within the possession of One Banana and Hapag-Lloyd. Forcing JKF to sit for a deposition and search for extensive documents already in possession of a party to the action is unduly burdensome.

Third, JKF is unduly burdened by the Subpoena, as One Banana has failed to indicate whether its CEO or Custodian of the Records is being called to testify. This distinction is further muddled by the fact One Banana's process server went to the CEO's home to effect service, rather than going directly to JKF's current

place of business. The Subpoena is addressed to JKF with the CEO's email address stated under its (former) office address. Preparing the Subpoena in this manner creates confusion and an undue burden on JKF. Thus, the Subpoena should be quashed or modified on this ground as well.

JKF copied One Banana's trucker on the emails it sent to One Banana regarding the status of the various shipments. JKF's role also included issuing the delivery orders, which does not mean JKF is involved in any communications with the terminals to make any arrangements. The materials sought from JKF are not within its possession, custody, or control; in fact, JKF does not possess any relevant information and/or documents that would adequately respond to One Banana's requests. Thus, One Banana's Subpoena should be quashed or modified on this ground, too.

Alternatively, if there is evidence anyone from JKF in fact communicated with any of the terminals, then One Banana's Subpoena should be modified to reflect a list of only those shipments, and not 100+ shipments.

3. The Subpoena Seeks Confidential and Proprietary Business Information.

JKF further moves to quash or modify the Subpoena on the grounds it improperly seeks documents and information that are highly confidential, sensitive, contain proprietary business information and/or trade secrets. By way of example, one document which might be responsive to One Banana's requests is the invoices JKF issued to One Banana. Those invoices would indicate any fees which JKF charged to provide its services. Customs brokerage, like many

professions, is a highly competitive industry and so making a broker's service charges known publicly would allow JKF's competitors the opportunity to undercut its fees in an effort to steal its customers. As such, that would be highly prejudicial to JKF. Thus, the Subpoena should again be quashed or modified on this ground as well. See FRCP 45(d)(3)(A)(iii); *In re Vitamins Antitrust Litig.*) 267 F.Supp.2d 738, 741 (SD OH 2003); FRCP Rule 45(d)(3)(B)(i).

4. The Subpoena Seeks Privileged Information Held by JKF's Attorney.

Another ground on which to quash or modify the Subpoena is that it requests documents in the possession of JKF's counsel. Information in the possession of or communications by JKF with its attorney is subject to attorney-client privilege and work product doctrine claims. By failing to distinguish between documents or information provided by JKF to counsel as part of the representation from those routine business documents maintained by JKF regarding its customer, One Banana seeks confidential and privileged information from JKF. The Subpoena should again be quashed or modified since it seeks this privileged information. See FRCP Rule 45(d)(3)(A)(iii); *In re Vitamins Antitrust Litig.*, 267 F.Supp.2d 738, 741 (SD OH 2003); FRCP Rule 45(d)(3)(B)(i); *Cohen v. City of New York*, 255 FRD 110, 117-119 (SD NY 2008).

5. Sanctions are Appropriate Against One Banana.

Commission regulations and rules are silent as to specifically allowing or disallowing monetary sanctions in this action. However, the Presiding Officer may borrow from the FRCP “when consistent with sound administrative practice.” 46 CFR §502.12. In this case, where One Banana insists on moving

forward with a defective Subpoena, monetary sanctions should be deemed appropriate. JKF is not a party to this docket and thus does not have possible remedies of sanctions or default sanctions available to it. Following the FRCP, in addition to quashing the Subpoena, the Presiding Officer may, in his/her discretion, “impose an appropriate sanction which may include ... reasonable attorney's fees—on a party or attorney” who fails to take “reasonable steps” to avoid imposing an undue burden or expense on the subpoenaed person. FRCP 45(d)(1); *Legal Voice v. Stormans, Inc.*, 738 F.3d 1178, 1185 (9th Cir. 2013). When this instant motion is granted, and if it is found that JKF is entitled to an award of attorney’s fees, JKF requests leave to file the appropriate declaration or petition to support the amount of such an award, on a schedule convenient to the Presiding Officer.

Whether couched in terms of a motion to quash or modify the Subpoena, or for a protective order, JKF has demonstrated the defective Subpoena would require undue burden, was not served timely or otherwise in compliance with Commission rules or the FRCP, seeks improper testimony and documents, and seeks proprietary business, confidential and privileged information.

DATED: October 31, 2022 MITCHELL SILBERBERG & KNUPP LLP

By: _____



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CERTIFICATE OF SERVICE

I hereby certify that on October 31, 2022, the foregoing **J&K FRESH, LLC’S MOTION TO QUASH OR MODIFY COMPLAINANT ONE BANANA NORTH AMERICA CORP.’S SUBPOENA DUCES TECUM OR IN THE ALTERNATIVE FOR A PROTECTIVE ORDER** has been served upon all interested persons and parties by electronic means pursuant to the below list.

Executed in Rialto, California, October 31, 2022.

/s/ Bertha A. García-Stone
Bertha A. García-Stone

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